Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Starbucks* should have good communication with its customers. • By communicating with customers, they are likely to return to buy more sandwiches from *Starbucks* **(1)** • Having good communication with customers encourages them to return to the shop so that a customer orders coffee and cake is understood and accurately delivered **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Q. No.	State **one** way *Starbucks* could follow health and safety legislation. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Starbucks* could follow health and safety legislation in the context of the business • Employees must ensure that when they are serving customers with biscuits they are handled with tongs or gloved hands **(1)** • Employees need to following the rules and regulations when using the coffee machines to avoid hot water and steam that could burn their hands **(1)** **NB** Do not accept a way that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** reason why many manufacturing businesses use just-in-time (JIT). **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why many manufacturing business use just-in-time (JIT), plus 2 further marks for explaining the reason, for a maximum of 3 marks. • JIT reduces the amount of inventory held by a business **(1)** reducing the costs associated with over ordering of inventory **(1)** meaning overall costs for a business may be reduced **(1)** • JIT reduces the amount of out-of-date or damaged stock **(1)** reducing the amount of storage space required for inventory **(1)** and this can then be used for other business activities **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why it is important that businesses pay their suppliers on time. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why it is important for a business of paying its suppliers on time, plus 2 further marks for explaining the reason for a maximum of 3 marks. • Paying suppliers on time establishes a good relationship with suppliers **(1)** and if a business needs goods urgently from them **(1)** they would be more likely to help them knowing they would be paid on time **(1)** • Paying on time, gives the business better negotiating powers with the supplier **(1)** so that if the supplier trusts them they may negotiate better prices **(1)** thus keeping its costs down **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** effect on a business if interest rates are decreased. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of an effect on a business if the interest rates are decreased, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A decrease in interest rates reduces the cost of borrowing for a business **(1)** making it cheaper to finance new projects/expansion **(1)** improving the profitability of the business **(1)** • This could increase sales income for a business **(1)** because consumers may have more money to spend **(1)** on additional items they might want, which the business sells **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	**Option 1:** financial methods **Option 2:** non-financial methods. Justify which **one** of these two methods *Starbucks* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees, such as bonus payments if the coffee shop increases its sales • **Option 2** – If *Starbucks* could offer its employee's non-financial benefits such as job enrichment within the coffee shop, so employees can gain more skills and knowledge of the business **AO3** • **Option 1** – Employees recognise that they are being financially rewarded for working hard and enjoy the extra income and this may encourage them to stay with the business • **Option 2** – Employees will gain new skills and knowledge and feel valued by *Starbucks,* which may help them gain promotion such as becoming an assistant manager and they will feel more loyal to Starbucks **AO4** • **Option 1** – However, not all employees are interested in bonus payments, as many employees are more interested in a good work-life balance and more concerned with non-financial incentives • **Option 2** – However, not all employees are motivated by non-financial methods of motivation, they may prefer having additional funds added to their pay slip so that they can pay their bills	**(9)**

Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why cash matters and how to improve cash flow

Answer 1 of 9 · Question 2 part d · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **crowdfunding**. **Answer**	Mark

Type MS · Why cash matters and how to improve cash flow

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why cash matters and how to improve cash flow

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Why cash matters and how to improve cash flow

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why cash matters and how to improve cash flow

Answer 2 of 9 · Question 1 part b · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Pay suppliers later** **A –** this is not correct because it will decrease cash-flow **B** – this is not correct because it could increase cash-flow in the long-term but not immediately **C** – this is not correct because it will decrease cash-flow	**(1)**

Question Number	Which **one** of the following is an example of primary market research? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Postal survey** **A –** this is not correct because it is an example of secondary market research **C –** this is not correct because it is an example of secondary market research **D** - this is not correct as it is an example of secondary market research	**(1)**

Question Number	Which **one** of the following is a fixed cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A – Rent** **B** – this is not correct because it is a variable cost **C** – this is not correct because it is a variable cost **D** – this is not correct because it is a variable cost	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is used to calculate the break-even point? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is D – Fixed costs ÷ (selling price – variable costs)** **A –** this is not correct because it is does not calculate the break-even point **B –** this is not correct because it is does not calculate the break-even point **D –** this is not correct because it is does not calculate the break-even point	**(1)**

Question Number	Which **one** of the following is the total cost in euros of buying 2 weeks of salmon? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – €448.58** **A –** this is not correct because it is the cost of 10kgs of salmon in pounds **B –** this is not correct because it is the cost of 10kgs of salmon in euros **C –** this is not correct because it is the cost of 20kgs of salmon in pounds	**(1)**

Question Number	Which **one** of the following is the markup of prawns? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – 19.1%** **A –** this is not correct because it is the cost of a kilogram of prawns as a percentage **B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage **D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.i in this mark scheme extract

Question Number	Define the term **job production** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • When an item is made and finished before the next one is started **(1)**	**(1)**

Question Number	Define the term **diseconomies of scale** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • Rising average costs as units increase **(1)**	**(1)**

Question Number	State **one** method *Can Culleretes* could use to collect quantitative market research. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.* • *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.i in this mark scheme extract

Question Number	Calculate the net cash flow for *Can Culleretes*. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 4 600 – 3 000 **(1)** = 1 600 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business of improving communication with its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.i in this mark scheme extract

Question Number	Analyse the likely impact on productivity if *Can Culleretes* launch this app. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The app means waiters do not have to take orders at the customer's table • As soon as customers place the order the kitchen will receive the order immediately **AO3** • This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders • This will increase productivity as it will make for a more efficient ordering system for the restaurant	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why cash matters and how to improve cash flow

Answer 3 of 9 · Question 1 part a.i · 1 mark

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Question Number	State **one** impact that government legislation could have on *Can Culleretes*. **Answer**	**Mark**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.ii in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.ii in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.ii in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.ii in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why cash matters and how to improve cash flow

Answer 4 of 9 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.ii in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Why cash matters and how to improve cash flow

Answer 5 of 9 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	**Mark**

Type MS · Why cash matters and how to improve cash flow

Answer 6 of 9 · Question 3 part b · 2 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of price skimming. • Setting a high price for a new product and then lowering it later **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why cash is important to *Artify Studio*, plus 1 further mark for linking it to the context of the question. • It allows *Artify Studio* to pay suppliers for the art materials they sell **(1)** and by paying on time help to build a positive relationship between the business and supplier **(1).** **NB** Do not accept a reason that is not in the context of *Artify Studio*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 28 500/90 500 x 100 **(1)** = 31.49 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Why cash matters and how to improve cash flow

Answer 6 of 9 · Question 3 part b · 2 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Artify Studio* can see how it is performing and can calculate the gross profit margin of 31.49%. • *Artify Studio* could can use this information to assess the direction that the art studio will take in the future. **AO3** • This calculation helps them to see the sales they are making are currently sufficiently covering costs of running their services and selling their products. • This helps *Artify Studio* to judge how much profit they are making against the cost of running their business and if any changes need to be made to make the business more profitable.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Why cash matters and how to improve cash flow

Answer 6 of 9 · Question 3 part b · 2 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding could be a quick way to raise the finance needed for new art sets. • Option 2 – Tay Hui Jae could invest his own retained profits which have been earned from previous years to purchase the new art sets. **AO3** • Option 1 – Investors do not need to be given any financial reward in return for their money but could instead be offered access to the art services *Artify Studio* offer. • Option 2 – This may provide the business will the short-term finance it needs to get the painting sets together. **AO4** • Option 1 – However, *Artify Studio* is only a small business so may not have enough presence to gain the funding needed and if they don't meet the target they set then they may end up with nothing. • Option 2 – However, there is no guarantee these painting sets will sell as customers may prefer for their children to take part in the art sessions in the studio making the venture unsuccessful.	**(9)**

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Type MS · Why cash matters and how to improve cash flow

Answer 6 of 9 · Question 3 part b · 2 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Why cash matters and how to improve cash flow

Answer 6 of 9 · Question 3 part b · 2 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Why cash matters and how to improve cash flow

Answer 7 of 9 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for the correct definition of liquidity. • Liquidity is how easily a business can change its assets into cash (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** Award 1 mark for identifying a possible financial objective *TADS* might have. One further mark for outlining it in the context of the business. • Ollie is looking to increase his profits (1). He could do this by increasing the number of instruments taught (1).	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 – 2 marks** Net cash flow = 7 000 – 3 000 = 4 000 (1) Closing balance = 4 000 + 4 000 = 8 000 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why cash matters and how to improve cash flow

Answer 7 of 9 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **A02** • If *TADS* has sufficient cash it can pay its electricity bills for the music studio. • If *TADS* runs out of cash it means it cannot pay its music teachers. **A03** • If *TADS* cannot afford to pay its bills, then the electricity would be cut and no lessons could take place. • If *TADS* can no longer pay its teachers, it cannot offer any music lessons.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why cash matters and how to improve cash flow

Answer 7 of 9 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Teaching other musical instruments will bring in new music students and revenue. • Option 2 – By offering online lessons more students will be able to take drum lessons and therefore increase revenue. **AO3** • Option 1 – This would increase its target market due to the wider range of musical instruments being offered leading to an increase in revenue. • Option 2 – This would increase revenue as more students can be taught at the same time in different locations around the country and the world. **AO4** • Option 1 – However, although this may lead to more revenue for the business it would need to find and pay additional teachers to provide this service. • Option 2 – However, there could be technical issues that might lead to lessons being interrupted and not delivered, giving *TADS* a bad reputation.	**(9)**

Type MS · Why cash matters and how to improve cash flow

Answer 7 of 9 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why cash matters and how to improve cash flow

Answer 7 of 9 · Question 3 part d · 6 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 1 000/(4.50-3.25) **(1)** = 800 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Analyse the importance of cash to *PPS*. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If *PPS* has sufficient cash it can pay the costs of buying the treats • If *PPS* does not have sufficient cash it may not be able to pay the employees running the pet hotel **AO3** • *PPS* can continue to buy the treats for sale to their customers • The pet hotel may have to close if employees are not paid leading to a loss of cash revenue	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Marketing informs customers of the products the business is offering • Marketing can build long lasting customer relationships **AO2** • *PPS* can remind customers with information about the products it offers such as CCTV cameras in the pet hotel • *PPS* can identify customer needs by giving its own customers questionnaires to get feedback **AO3** • It is important for *PPS* to create greater brand awareness to make it stand out against the competition so that existing customers remain with *PPS* • If *PPS* gather enough reliable information from its customers, they may be able to identify its customer needs to be able to target its products and services more accurately giving them a competitive edge over other pet businesses **AO4** • However, it can be time consuming to market the business as *PPS* will need to approach the customers that come in store or provide detailed information on their website to keep it competitive • However, this may not work as some of their customers may still try the new pet business if it is charging a lower price than *PPS*	**(12)**

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why cash matters and how to improve cash flow

Answer 8 of 9 · Question 4 part b · 6 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

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Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** Award 2 marks for the correct answer €849.52 **(2)** Award 1 mark for working 820 x 3.6% **(1)** **OR** 29.52 **(1)**	**(2)**

Type MS · Why cash matters and how to improve cash flow

Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Analyse the importance of cash to the success of *Ocean Vibes* **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Ocean Vibes* requires cash to pay the wages and salaries of its boat tour guides and sales team • *Ocean Vibes* need cash to pay its overheads such as fuel and other equipment for the boat **AO3** • If *Ocean Vibes* is unable to pay the wages of the tour guides on time, the guides are likely to leave the business to work for a competitor • If *Ocean Vibes* runs out of cash and is unable to pay its liabilities, then the business may become insolvent and close down	**(6)**

Type MS · Why cash matters and how to improve cash flow

Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Evaluate the benefits to *Ocean Vibes* of operating as a franchise to further expand its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A franchise is a business that gives the right to another person or business to sell its products or services • The franchise receives set-up /royalty fees from the franchisee **AO2** • The franchisees can assist in the growth of *Ocean Vibes* by offering boat tours in other tourist resorts • *Ocean Vibes* will receive revenue from the franchisees operating in other tourist resorts in Portugal **AO3** • This will allow the brand name of *Ocean Vibes* to be extended to other areas of Portugal and encourage customer loyalty • The fees received by *Ocean Vibes* can be used to invest in the research of wildlife to fulfil the goal of Alfred and Pedro which is to connect tourism with science	

Type MS · Why cash matters and how to improve cash flow

Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part b in this mark scheme extract

	AO4 • However, *Ocean Vibes* risk the chance of their reputation being damaged if the franchisees do not operate the boat tours in a responsible manner • However, there are many competitors in the boat tour market and Alfred and Pedro may fail to find franchisees who are willing to pay the franchise fees to *Ocean Vibes*	**(12)**

Type MS · Why cash matters and how to improve cash flow

Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why cash matters and how to improve cash flow

Answer 9 of 9 · Question 4 part b · 6 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)